

yond. The only value in observing the short term action will be to ascertain an opportunity to orient your investment or trading account to that inexorable long term trend. Staying out of a bear market requires just as much discipline as getting out in the first place. Just as premature selling is typical investor behavior in the early stage of a bull market, so is premature buying in bear markets, and it is devastating to one's prosperity. The best antidote is a clear look at the big picture, which is the purpose of this book.

After the stock market has declined for awhile, financial, economic and social conditions, which now appear just fine to so many, will begin deteriorating rapidly. Bad news will begin to pour forth, often appearing as a surprise. At the bottom, despair will reign, and the trend will be projected further downward by the majority of economists. Financial professionals will counsel asset safety and conservation, not profit. Academics will issue scholarly studies to support the bearish mindset. The public will have very little money in investment markets, either because they withdrew it or because they failed to withdraw it. Investors will have slid to the bottom of the Slope of Hope, and the market will begin its new climb up the Wall of Worry.

So what is the right course of action? As *The Elliott Wave Theorist* cautioned in early 1986, "Once the craze really takes hold, just be aware of what is going on, and make sure you are not caught up in the amorphous feelings of confidence, complacency and love at the ultimate top." The reader of this book faces a difficult task, one that will put him in such an extreme minority that he will feel isolated and unsupported. By selling all of your stocks, you will take the maverick road, and you will take it alone. Perhaps the best words of wisdom were those offered back when the bull market was in its infancy, when it was possible to adopt a cool perspective, many years and many points away from today's frothy frenzy. A dozen years ago, on August 18, 1983, *The Elliott Wave Theorist* explained how the pressures would mount throughout the bull market to the point that psychology would be in diametric opposition to that of the early 1980s. We can now take this paragraph out of our wallets and gently unfold it, observing that the pressures we face are exactly those anticipated so long ago:

I have no doubt that by the time this bull market is ending, our call for a huge crash and depression will be laughed off the street. In fact, that is exactly what we should expect if there is to